

10x Genomics

NASDAQ : TXG · \$3.57B mkt cap · 127M sh · \$540M cash, zero debt · ~\$540M net cash, no debt; ~127M shares (dual-class, founder voting control); Mature-Company Revenue ~\$600M, flat-to-declining 3yrs; cash-generative (+\$26M op cash Q1'26); ~85% recurring consumables (70% gross margin); DCF NIH-funding exposed

\$28.11

THE CENTRAL QUESTION

Is the market paying a spatial-growth multiple (~5x EV/sales) for a single-cell-decline reality — or correctly pricing a margin inflection plus spatial re-acceleration?

10x trades at ~\$3.6B (~\$28/sh) — ~5x EV/sales on ~\$600M revenue now flat-to-declining for three years. A dominant tools franchise: >7,900 instruments and ~85% recurring 70%-gross-margin consumables, net-cash and cash-generative after a 17% opex cut. The mature DCF asks whether revenue re-accelerates and margins convert to operating profit — against an NIH-funding shock and instrument-free rivals. The finding: the recent triple prices a spatial re-acceleration the base case (~3% grind) doesn't support — only the bull (~8%) approaches spot, the ultra-bull clears it.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$14.28 expected fair value today
-49.2% vs spot \$28.11

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$22.37	\$35.14	\$55.39	\$87.60
0.80x spot	1.25x spot	1.97x spot	3.12x spot

WEIGHTING RATIONALE

Ultra Bear 15% NIH cuts crush demand; revenue declines; ~\$5.
Bear 30% Flat revenue, thin margins; dominant ex-growth; ~\$8.
Base 33% Slow ~3% grind; margins recover; ~\$14 (~50%).
Bull 17% Spatial re-accelerates to ~8%; ~\$26 (≈spot).
Ultra Bull 5% Clinical spatial inflection; mid-teens; ~\$43.

Bull (17%) + Ultra Bull (5%) together contribute \$6.59 — 46% of the \$14.28 expected value despite 22% combined probability. Today's spot (\$28.11) sits 97% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



ULTRA BEAR	\$4.41	BEAR	\$8.19	BASE	\$13.86	BULL	\$26.06	ULTRA BULL	\$43.23
	-84.3% vs spot		-70.9% vs spot		-50.7% vs spot		-7.3% vs spot		+53.8% vs spot
CAGR -3.6% WACC 12.5% CAGR -3.6% Prob 15%		CAGR -0.4% WACC 11.0% CAGR -0.4% Prob 30%		CAGR +2.6% WACC 9.5% CAGR +2.6% Prob 33%		CAGR +8.0% WACC 8.5% CAGR +8.0% Prob 17%		CAGR +11.7% WACC 8.0% CAGR +11.7% Prob 5%	
NIH cuts bite; revenue declines.		Stalled; flat revenue, thin margins.		Slow ~3% grind; margins recover.		Spatial re-accelerates the total.		Clinical spatial inflection.	

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2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

10x Genomics scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected \$14.28 (-49.2% vs spot)

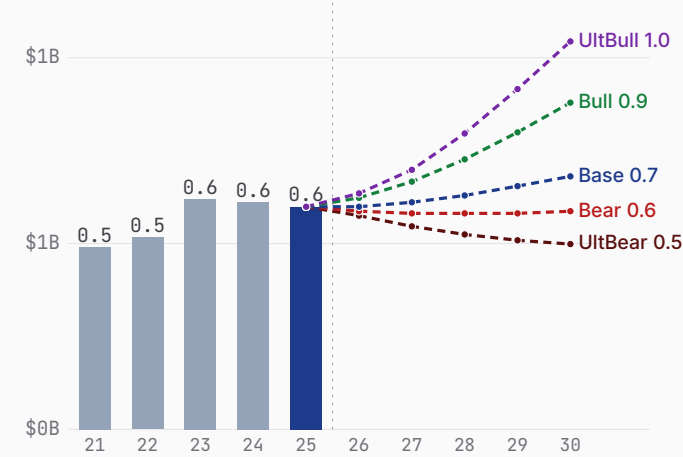
ULTRA BEAR	\$4.41	BEAR	\$8.19	BASE	\$13.86	BULL	\$26.06	ULTRA BULL	\$43.23
	-84.3% vs spot		-70.9% vs spot		-50.7% vs spot		-7.3% vs spot		+53.8% vs spot
Probability 15%		Probability 30%		Probability 33%		Probability 17%		Probability 5%	
NIH cuts bite; revenue declines.		Stalled; flat revenue, thin margins.		Slow ~3% grind; margins recover.		Spatial re-accelerates the total.		Clinical spatial inflection.	
WHY 15%		WHY 30%		WHY 33%		WHY 17%		WHY 5%	
The NIH funding shock is the dominant risk — ~25% of revenue is NIH-tied, instruments already fell 39%, and the academic market could shrink for years. 15% weight on a sustained decline.		Spatial grows but can't offset single-cell erosion + the NIH drag; revenue stays flat. 30% weight — a very plausible 'dominant but ex-growth' outcome given the 3-year stall.		Guidance holds (0-4%), cost discipline converts to FCF, spatial roughly offsets single-cell. 33% as the central, modal outcome — consistent with consensus ~3.8% CAGR.		Requires spatial (Xenium) to re-accelerate the TOTAL to ~8% AND NIH to stabilize AND operating leverage to land. Each plausible; jointly ~17%.		Tail: spatial inflects into clinical/translational use + peak-tools margins. ~5% — the secular-platform thesis fully realized.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The NIH / academic funding shock deepens — the proposed ~40% NIH cut sticks, instrument placements stay frozen, and the single-cell consumables decline accelerates faster than spatial can offset. Revenue falls ~4%/yr toward ~\$0.50B by FY30; the franchise shrinks.		Revenue stays roughly flat — the NIH drag offsets the Xenium spatial ramp, and single-cell erosion continues. 10x holds its dominant position but doesn't grow; margins recover only modestly on cost discipline.		The modal path: FY26 guidance holds (0-4% growth), spatial roughly offsets single-cell decline, and the 17% opex cut plus modest top-line growth converts the 70% gross margin toward a low-teens FCF margin — revenue ~\$0.68B by FY30 at ~3% CAGR.		The bull: Xenium spatial (and the ScaleBio instrument-free chemistry) re-accelerate the whole company to ~8% CAGR, NIH funding stabilizes, instrument placements resume, and operating leverage drives the FCF margin toward ~20% — revenue ~\$0.88B by FY30.		The tail: spatial biology inflects from research into translational/clinical use, 10x's installed-base + IP moat compounds, and revenue reaches mid-teens CAGR (~\$1.05B by FY30) at peak-tools margins (~27% FCF).	
Even net-cash and debt-free, a declining-revenue tools business earns a distressed multiple — the DCF lands near \$5, ~80% below spot. The recurring consumables annuity erodes with the shrinking installed base.		A flat ~\$0.6B-revenue franchise at a mid-single-digit FCF margin earns ~\$8/share on the DCF — well below spot. 'Dominant, but ex-growth.'		DCF ~\$14/share — ~50% below spot. The franchise is real and finally profitable, but a 3%-grower at a low-teens FCF margin doesn't support ~5x EV/sales. The market is paying for a re-acceleration the base case doesn't deliver.		DCF ~\$26/share — roughly today's price. This is the scenario the recent triple is pricing; it requires spatial to actually move the total, not just grow within a flat mix.		DCF ~\$43/share — ~+54% above spot. The genuine 'secular-growth platform' outcome the bulls envision; ~5% probability.	

10x Genomics business snapshot

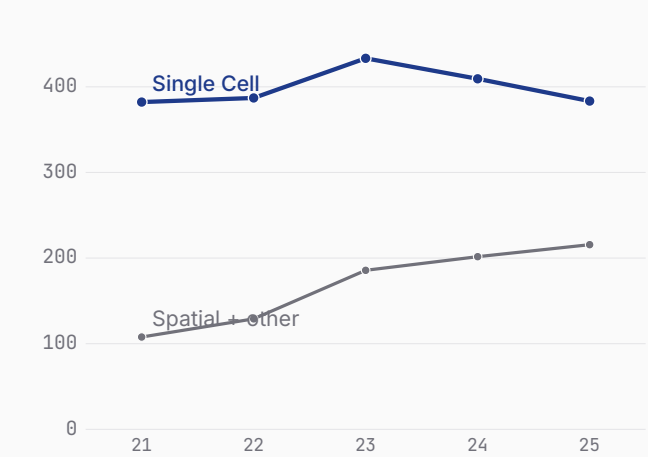
Bear \$8.19 Base \$13.86 Bull \$26.06

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · Q1 2026 10-Q, FY25 results

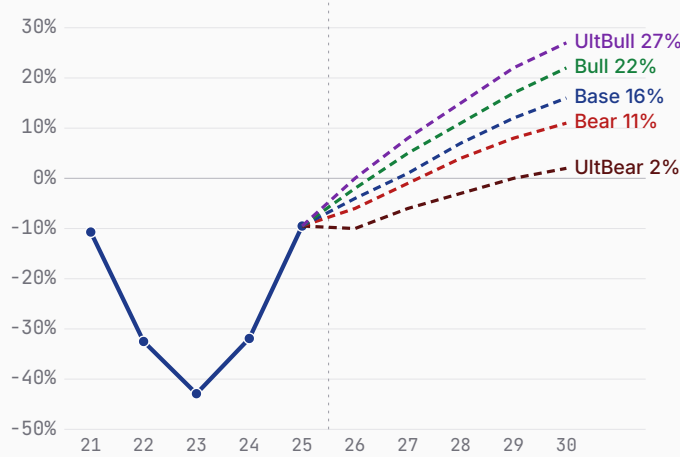
Revenue (\$B) — history + scenarios to FY30



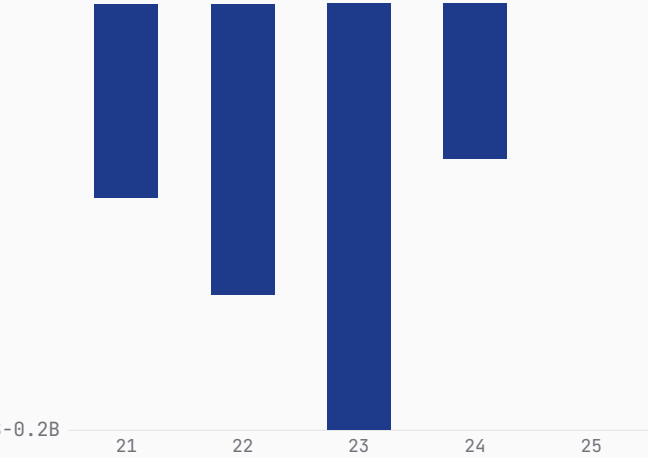
Revenue by segment (\$M)



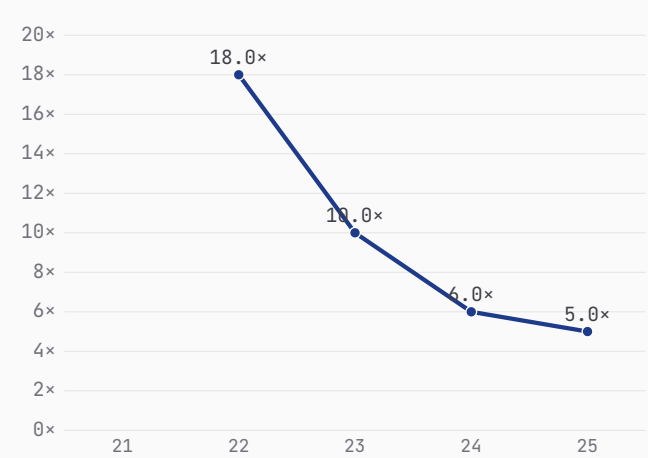
Op margin — history + scenarios



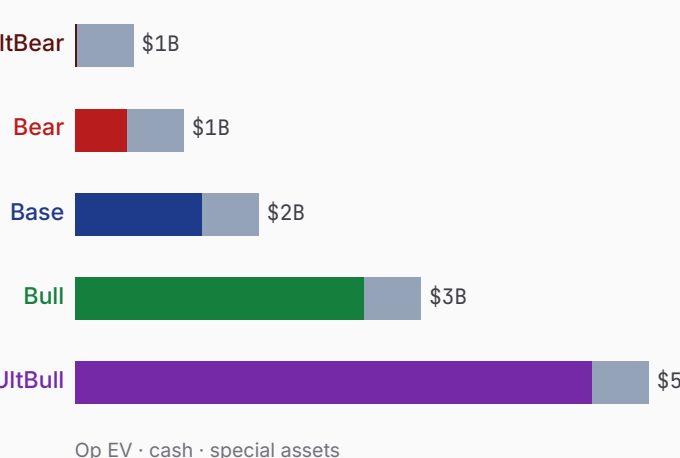
Free cash flow (\$B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: 10x Genomics Q1 2026 10-Q (net cash \$0.54B), FY2025 results (\$599M underlying revenue ex-litigation), segment + installed-base disclosures, patent-settlement filings. Revenue modeled as a growth-rate path off the FY25 base; FCF = revenue x FCF margin (mature framework, no dilution); terminal = Gordon at the scenario WACC. EV/sales context vs mature life-science-tools peers.

10x Genomics 7 Powers · the moat, scored

Bear \$8.19 Base \$13.86 Bull \$26.06

Arena. Single-cell + spatial biology tools — 10x Genomics (Chromium single-cell, Visium/Xenium spatial; ~85% recurring consumables) vs Illumina (sequencing platform, entering spatial), Bruker (CosMx/GeoMx ex-NanoString), Parse (instrument-free single-cell), Standard BioTools; defending a dominant tools franchise as growth stalls.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here 	Razor/blade installed base (>6,400 Chromium + >1,500 spatial instruments) → ~85% recurring high-margin consumables; the strongest, most durable Power.
Network Economies 	A published-protocol / citation network is mild; not a hard flywheel.
Counter-Positioning 	10x is the incumbent, not counter-positioned; instrument-free entrants (Parse) counter-position against its razor model.
Switching Costs 	Entrenched lab workflows, protocols, and data pipelines create real but not insurmountable lock-in.
Branding 	The 'gold standard' single-cell brand; strong in academia.
Cornered Resource 	Extensive droplet + in-situ patent estate (bankrupted NanoString; forces rivals to license) — durable on existing methods, but doesn't stop combinatorial-barcoding designs-around.
Process Power 	Manufacturing + assay learning curve; real but contestable.

COMPETITIVE READ

10x's Scale-Economies Power — a >7,900-instrument installed base throwing off ~85% recurring, 70%-margin consumables — is real and durable, and its IP estate bankrupted NanoString. But the Power is being audited in real time: single-cell consumables are declining, instrument placements are frozen by the NIH funding shock, and instrument-free entrants (Parse — and 10x's own ScaleBio acquisition) attack the razor model the annuity depends on. The market pays ~5x EV/sales for a spatial re-acceleration the base case doesn't yet support; the durability of the consumables annuity through the academic-funding shock is the falsifier the valuation rests on.

PEER SET

Illumina Sequencing platform 10x's reads run on; entering spatial; huge balance sheet. 10x is suing it over spatial/single-cell IP.	3% gr · 20% mgn · ~5x sales
Bruker CosMx/GeoMx (ex-NanoString) spatial imaging; settled & licenses 10x IP (pays \$68M + royalties).	5% gr · 15% mgn · ~3x sales
Parse Biosciences Instrument-free split-pool single-cell — removes the razor, undercuts Chromium. 10x won an ATAC injunction vs it.	· private
Standard BioTools Fluidigm + Olink; multiomics-adjacent, consolidating.	0% gr · ~2x sales

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Instrument-free entrants (Parse; 10x's own ScaleBio chemistry) falsifier: Single-cell consumables decline accelerates beyond -5%/yr as researchers adopt instrument-free workflows.
Scale Economies · NIH / academic funding cuts falsifier: Instrument placements stay frozen (instruments < -20%/yr) for two more years, shrinking the future consumables annuity.
Cornered Resource · Illumina spatial entry + design-arounds falsifier: Illumina or a combinatorial-barcoding rival takes material spatial share while 10x's IP suits stall.

10x Genomics show your work

Bear \$8.19 Base \$13.86 Bull \$26.06 · Weighted \$14.28 (-49.2%)

ULTRA BEAR					\$4.41	BEAR					\$8.19	BASE					\$13.86	BULL					\$26.06	ULTRA BULL					\$43.23
ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS					
5y revenue CAGR (%)					-3.6	5y revenue CAGR (%)					-0.4	5y revenue CAGR (%)					+2.6	5y revenue CAGR (%)					+8.0	5y revenue CAGR (%)					+11.7
Year-5 op margin (%)					2.0	Year-5 op margin (%)					11.0	Year-5 op margin (%)					16.0	Year-5 op margin (%)					22.0	Year-5 op margin (%)					27.0
WACC (%)					12.5	WACC (%)					11.0	WACC (%)					9.5	WACC (%)					8.5	WACC (%)					8.0
Terminal growth (%)					-1.0	Terminal growth (%)					1.0	Terminal growth (%)					2.5	Terminal growth (%)					3.0	Terminal growth (%)					3.5
5y revenue CAGR (%)					-3.6	5y revenue CAGR (%)					-0.4	5y revenue CAGR (%)					+2.6	5y revenue CAGR (%)					+8.0	5y revenue CAGR (%)					+11.7
Starting revenue (\$B)					0.60	Starting revenue (\$B)					0.60	Starting revenue (\$B)					0.60	Starting revenue (\$B)					0.60	Starting revenue (\$B)					0.60
Scenario probability (%)					15	Scenario probability (%)					30	Scenario probability (%)					33	Scenario probability (%)					17	Scenario probability (%)					5
5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B					
FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF	
FY26	0.58	-10%	-0.02	-0.02		FY26	0.59	-6%	+0.00	+0.00		FY26	0.60	-4%	+0.01	+0.01		FY26	0.62	-2%	+0.03	+0.02		FY26	0.63	+0%	+0.04	+0.04	
FY27	0.55	-6%	-0.01	-0.01		FY27	0.58	-1%	+0.02	+0.01		FY27	0.61	+1%	+0.03	+0.03		FY27	0.67	+5%	+0.05	+0.04		FY27	0.70	+8%	+0.08	+0.07	
FY28	0.52	-3%	+0.00	+0.00		FY28	0.58	+4%	+0.04	+0.03		FY28	0.63	+7%	+0.06	+0.04		FY28	0.73	+11%	+0.10	+0.07		FY28	0.80	+15%	+0.13	+0.10	
FY29	0.51	+0%	+0.01	+0.00		FY29	0.58	+8%	+0.05	+0.03		FY29	0.65	+12%	+0.09	+0.06		FY29	0.80	+17%	+0.14	+0.10		FY29	0.92	+22%	+0.20	+0.15	
FY30	0.50	+2%	+0.01	+0.01		FY30	0.59	+11%	+0.07	+0.04		FY30	0.68	+16%	+0.11	+0.07		FY30	0.88	+22%	+0.19	+0.13		FY30	1.04	+27%	+0.28	+0.19	
Σ PV explicit FCF					-0.02	Σ PV explicit FCF					+0.11	Σ PV explicit FCF					+0.21	Σ PV explicit FCF					+0.37	Σ PV explicit FCF					+0.54
+ PV terminal (g -1.0%)					0.04	+ PV terminal (g 1.0%)					0.39	+ PV terminal (g 2.5%)					1.01	+ PV terminal (g 3.0%)					2.40	+ PV terminal (g 3.5%)					4.41
EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE					
Operating EV					\$0.02B	Operating EV					\$0.50B	Operating EV					\$1.22B	Operating EV					\$2.77B	Operating EV					\$4.95B
+ Cash & investments					\$0.54B	+ Cash & investments					\$0.54B	+ Cash & investments					\$0.54B	+ Cash & investments					\$0.54B	+ Cash & investments					\$0.54B
= Equity value					\$0.56B	= Equity value					\$1.04B	= Equity value					\$1.76B	= Equity value					\$3.31B	= Equity value					\$5.49B
FY30 shares (M)					127	FY30 shares (M)					127	FY30 shares (M)					127	FY30 shares (M)					127	FY30 shares (M)					127
= Expected per share					\$4.41	= Expected per share					\$8.19	= Expected per share					\$13.86	= Expected per share					\$26.06	= Expected per share					\$43.23
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$7.95	\$14.32	\$25.81	\$46.50		\$13.80	\$23.25	\$39.19	\$66.03		\$21.82	\$34.35	\$54.07	\$85.12		\$39.19	\$58.92	\$88.60	\$133.22		\$63.52	\$93.33	\$137.13	\$201.49		\$63.52	\$93.33	\$137.13	\$201.49	
0.28×	0.51×	0.92×	1.65×		0.49×	0.83×	1.39×	2.35×		0.78×	1.22×	1.92×	3.03×		1.39×	2.10×	3.15×	4.74×		2.26×	3.32×	4.88×	7.17×		2.26×	3.32×	4.88×	7.17×	

10x Genomics supporting analysis · disclaimers · glossary

Bear \$8.19 Base \$13.86 Bull \$26.06

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Razor/blade annuity is the moat.
~85% of revenue is recurring 70%-gross-margin consumables off a >7,900-instrument installed base — a durable Scale-Economies Power.
- 2

Net-cash, self-funding, no dilution.
~\$540M net cash, debt-free, and freshly cash-generative (+\$26M op cash Q1'26) — no raise needed; failure risk negligible.
- 3

IP estate bankrupted a competitor.
10x's droplet/in-situ patents bankrupted NanoString and extract royalties from Bruker/Vizgen — a real cornered resource.
- 4

Spatial (Xenium) is the growth engine.
Spatial consumables +19%; Xenium Protein multiomics extends the lead — the re-acceleration optionality.
- 5

Cost discipline already executed.
A 17% opex cut + 8% headcount reduction collapsed the net loss from -\$183M to -\$44M; the operating leverage is in place if revenue grows.

FALSIFICATION TRIGGERS

Bull validation

total revenue growth re-accelerates >7% · spatial offsets single-cell decline · NIH / instrument placements recover · FCF margin > 15%

Bear validation

single-cell consumables decline accelerates < -5% · instruments stay frozen · NIH cuts bite · revenue flat-to-down through FY27

Reframe needed

if spatial biology inflects into clinical/translational use at scale, re-rate the growth path and terminal multiple toward a secular-platform level

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Chromium / single-cell — 10x's flagship single-cell platform; the legacy core — ~\$386M revenue, slowly declining.

Visium / Xenium / spatial — 10x's spatial-biology platforms (in-situ + sequencing-based); the +19% growth engine.

Razor/blade (consumables) — Instruments (the razor) drive recurring consumable-reagent sales (the blade); ~85% of 10x revenue is recurring consumables.

NIH funding shock — ~25% of revenue is NIH-tied; proposed ~40% NIH cuts froze academic instrument purchases (-39% in FY25) — the dominant headwind.

FCF margin — Mature-DCF lever — the free-cash-flow margin the 70% gross margin converts to as revenue and operating leverage build.